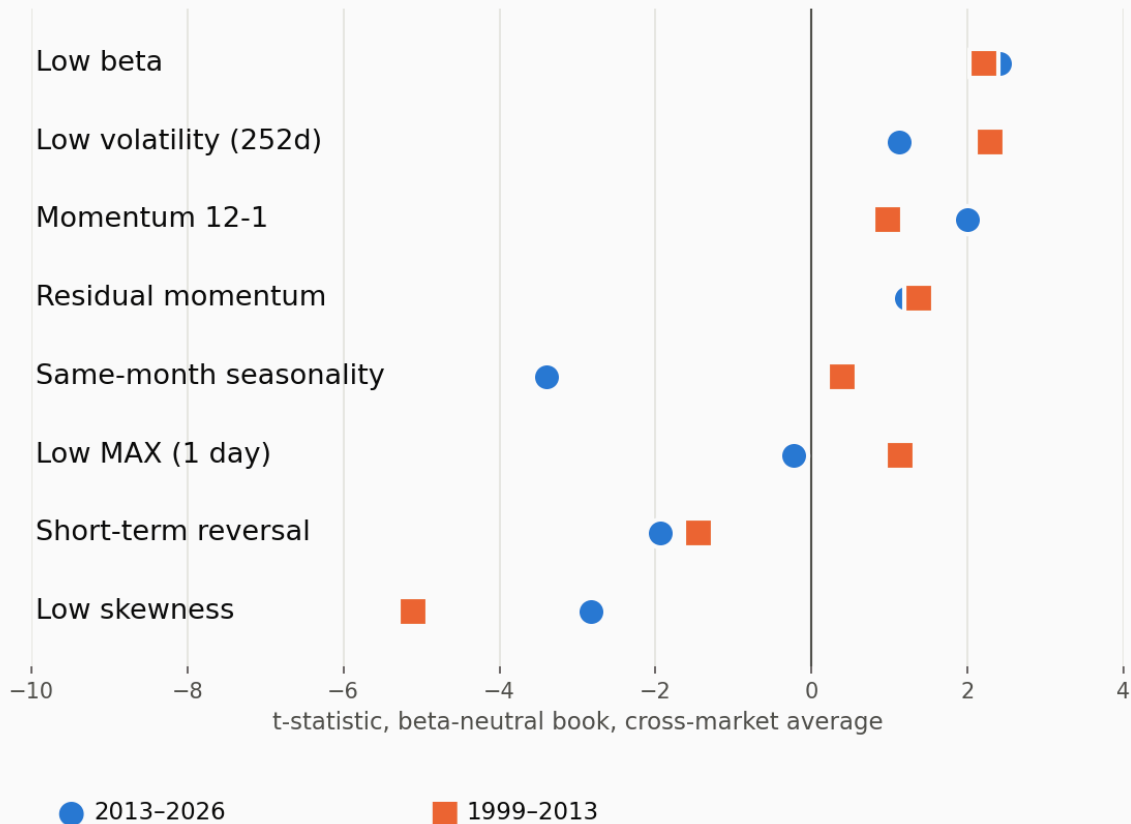


The earlier history

Same rules, 1998–2013: two bear markets the model never saw



Low beta + momentum: Sharpe 0.81 out of sample.

Henrik Gjerner · Project 10 · point-in-time universes, local currency (World in USD)

Henrik Gjerner · LinkedIn

I tested my conclusions on data they had never seen: 1998–2013, including the dot-com bust and 2008.

Same 19 signals, same directions, same costs, same pre-registered multifactor rules. The history comes from an old research database of mine, with delisted stocks included, for the US, Europe, the UK and Denmark.

- Low beta is confirmed: positive in all four markets in both periods (t 2.2 before 2013).
- Momentum keeps its sign, and in a regression with all signals it again adds return (t 2.2).
- Low skewness loses in both periods (t -5.1). In large caps, lottery-like stocks kept earning more, not less.
- Seasonality flips: strong before 2013, failed after. Published and then faded.
- The dynamic multifactor selection fails its pre-registered test again (+0.6% a year, t 0.2).

And the result I did not expect: the simple pair I picked from the later data, low beta plus momentum, beat owning every signal by +9.1% a year (t 2.6) in all four markets, with near-zero correlation to the market. Out of sample, by construction.

It still does not clear the correction for all 566 tests I have run. But it is the closest thing to common ground this series has found.

Full factsheet and pre-registration: <https://hgjerner.github.io/now-showing/factsheets/fs15-earlier-history>

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